9.5 Depreciation & Amortisation

To understand about Depreciation and Amortisation, we must look into the following:

1. Check D&A/Revenue from common-size.

If a major chunk of the revenue is being consumed as Depreciation and Amortisation, the business can be said to be capital intensive. We also evaluate this by analyzing the fixed assets or the operating assets turnover ratio.

Looking at Depreciation and Amortisation in the common size statement, we find it stands at 2-3 percent of the revenue. This goes on to show that Depreciation as a percentage of sales is a low number and therefore the business is not very asset intensive.

Cost of goods sold	45%	44%	46%	51%	47%	46%
Employee Benefit Expense	10%	11%	11%	12%	13%	13%
Depreciation and Ammortisation	2%	2%	2%	2%	2%	3%

Depreciation and Ammortisation	
Check D&A/ Revenue from common-size.	
Check for sudden increases in D&A w.r.t	
Where is most depreciation and	